



University of the Philippines System Administration

Office of the Vice President for Administration

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MEMORANDUM NO. ACR 26-69

FOR : Vice Presidents and Secretary of the University
Chancellors
Acting Chancellor, UP Tacloban
Director, UP Philippine General Hospital

THROUGH : Vice Chancellors for Administration
Deputy Director for Administration
HRDO Directors / Heads

ATTENTION : Directors / Heads of Offices / Units

SUBJECT : **Reiteration of Guidelines on the Processing of Individual Contract of Service Engagements and COS/JO Contracts**

This Memorandum reiterates the guidelines issued under OVPA-OVPPF Joint Memorandum No. 25-09 dated 05 June 2025, on the *Processing of Individual Contract of Service (ICS) Engagements and Applicable Rates Effective 01 July 2025*, and Memorandum No. ACR 26-01 dated 05 January 2026, implementing CSC-COA-DBM Joint Circular No. 1, s. 2025. These issuances remain in force and shall continue to guide all Constituent Universities, UP Philippine General Hospital, UP System Administration, and concerned offices in the engagement, renewal, and processing of COS/JO contracts.

For purposes of this Memorandum:

- **Contract of Service (COS)** refers to the engagement of the services of an individual to undertake a special project or job within a specific period.
- **Job Order (JO)** refers to piece work, intermittent, or emergency jobs, such as clearing of debris on roads, canals, and waterways after natural or man-made disasters or occurrences, and other manual, trades, and crafts services, including carpentry, plumbing, painting, electrical work, and similar services. These jobs are of short duration and are for a specific piece of work.

All units are reminded of the following guidelines:

I. Processing of COS Engagements

All COS engagements, whether new or renewal, must be processed ahead of time before the intended effectivity date to allow sufficient time for review, approval, and execution of the contract. Units shall ensure that the applicable rates are reflected in the contract and supported by the necessary budget allotment or clearance.

II. Contract Cycles

COS contracts shall follow the prescribed semi-annual cycles:

1. January to June; and
2. July to December.

If the start date falls within the January to June cycle, the contract shall end on 30 June. If the start date falls within the July to December cycle, the contract shall end on 31 December. Upon renewal, contracts shall be aligned with the regular semi-annual cycle.

The contract template for the next cycle will be provided by 15 June 2026.

III. Processing of Requests

All requests for Authority to Hire Individual Contract of Service (ATH ICS), whether new, renewal, or reclassification, shall be processed through the PUSO ATH ICS module. Each request shall be supported by the required documentation and shall undergo the appropriate clearance process prior to final approval.

For ATH ICS requests, the required clearances shall include evaluation of the duties and responsibilities, compensation rates, and HR clearance from the CU HRDO and Budget Clearance from the CU Budget Office. The HR Clearance shall confirm the propriety of the engagement and compliance with HR related requirements, while the Budget Clearance shall confirm the availability of funds and the appropriate charging of the engagement.

All Job Order and Office Order requests shall be processed through BULSA. These requests shall be supported by the signed Job Order Form or Office Order, the approved budget, IOB or LIB, or equivalent approved funding document, as applicable. As much as practicable, units shall refrain from engaging their existing COS workers for additional related roles through Job Orders. In exceptional cases where an individual with an existing COS contract is tapped to perform an additional role outside the scope of the current contract, the Job Order must be distinct from the existing COS engagement and must be performed outside the engagement hours agreed upon in the COS contract.

Final approval of ATH – ICS and JO engagements processed in BULSA shall be delegated to the Chancellor for Constituent Universities and to the Director for UP Philippine General Hospital or to the concerned University official as specified in the approved delegation of authority of the University. For UP System Administration, final approval shall be delegated to the Vice President for Administration.

IV. Applicable Rates for the Next Contract Cycle

Contracts for the next cycle, including those starting July 2026, shall use the applicable Salary Standardization Law (SSL) 2026 rates and the corresponding premium, subject to the availability of funds of the concerned CU, UP PGH, or office, and in compliance with budgeting, accounting, and auditing rules. Units shall ensure that the updated rates are properly reflected in the contract and supported by the required budget clearance or allotment.

In processing through the PUSO ATH ICS module, users shall select the applicable SSL rate from the available SSL rates dropdown in the system and the corresponding premium. The selected rate must correspond to the proper salary schedule applicable to the contract cycle and must be consistent with available funds and the approved budget clearance.

Final approval for ATH ICS requests for CU COS workers is delegated to the respective CU Chancellors. For UP PGH, final approval shall be delegated to the UP PGH Director. For UP System Administration, final approval shall be delegated to the Vice President for Administration.

V. Daily or Monthly Rate

COS engagements that are based on defined deliverables shall use the monthly rates in their contracts, particularly when the expected outputs can be completed, measured, and accepted on a milestone or monthly deliverable basis.

On the other hand, COS engagements involving work that is performed and completed on a daily basis, or where the nature of the work does not lend itself to milestone-based deliverables, shall provide daily rates in the contract. For this purpose, the daily rate shall be computed by dividing the applicable monthly rate by twenty-two (22) working days.

Accordingly, COS engagements with measurable milestone-based deliverables may be contracted on a monthly rate basis, while COS engagements that are primarily daily in nature and cannot be reasonably structured around monthly deliverables shall be contracted on a daily rate basis.

VI. No Contract, No Start of Work

Units shall strictly observe the policy of “no contract, no start of work”. COS/JO workers shall not be allowed to report for work or render services unless their contracts have been finalized and duly signed.

If a unit allows a COS, or JO worker to render services without a valid and executed contract, the head of the office or unit concerned shall bear responsibility for the payment of services rendered.

VII. No Increase in the Number of COS/JO Workers and No New COS/JO Hiring

Consistent with CSC-COA-DBM Joint Circular No. 1, s. 2025 and Memorandum No. ACR 26-01, UPSA, CUs, and UP PGH shall not increase their current number of COS and JO workers.

As a general rule, no new COS/JO hiring shall be allowed. When an existing COS or JO engagement ends, the unit shall first assess whether replacement is essential and fully justified. Any proposed replacement or engagement shall be consistent with workforce optimization objectives and applicable University procedures.

VIII. Exception for Project-Based Engagements

The restriction on new COS/JO hiring shall not preclude the engagement of COS worker for clearly project-based and time-bound activities, including externally funded research projects, internally funded research projects, and University special projects, provided that:

1. The project has defined objectives, deliverables, and duration;
2. The engagement is explicitly provided in the approved Line-Item Budget or equivalent approved project budget;
3. The scope of work is directly related to project implementation;
4. The work does not involve the performance of regular plantilla functions; and
5. The engagement is co-terminous with the project and shall automatically terminate upon project completion, or earlier in accordance with the contract.

IX. Externally Funded Projects and the ATH ICS Process

Externally funded projects may require the use of ATH ICS to process the authority to hire project-based COS workers, provided that the engagement is project-based, time-bound, funded under the approved Line-Item Budget or equivalent approved project budget, and directly necessary for project implementation. These engagements shall remain subject to the applicable rules of the funding agency, University policies, and budgeting, accounting, and auditing rules.

X. Compliance with Limitations on COS/JO Engagement

COS/JO workers shall not be engaged to perform existing regular plantilla functions and shall not be designated to positions exercising control or supervision over regular and career employees.

Units shall ensure that all engagements comply with the nature, limitations, funding source, and accountability requirements under CSC-COA-DBM Joint Circular No. 1, s. 2025 and related University issuances.

All CUs, UP PGH, UPSA are directed to disseminate these reiterations to their respective HRDOs, budget offices, accounting offices, project leaders, and concerned units for strict compliance.

XI. Subsequent Policy Updates

OVPA shall issue a similar memorandum as may be applicable, in the event of changes in COS/JO policies, applicable rates, contract processing requirements, or related government and University issuances.

For strict compliance.


AUGUSTUS C. RESURRECCION
Vice President for Administration

cc: Office of the President